

Gomez v. TransPak, Inc. is a class and PAGA representative action filed on February 20, 2024, in Santa Clara County Superior Court. Case No. 24CV431223. (Washington Decl., ¶¶ 51–57, Ex. 12–16.) The action has been deemed complex. (*Id.* at ¶ 52, Ex. 13.)

II. Legal Standard

California Rules of Court, rules 3.501 through 3.550 provide for the coordination of complex actions. Rule 3.400(a) defines a “complex case” as “an action that requires exceptional judicial management to avoid placing unnecessary burdens on the court or the litigants and to expedite the case, keep costs reasonable, and promote effective decision making by the court, the parties, and counsel.” In deciding whether an action is a complex case under Rule 3.400(a), the court must consider, among other things, whether the action is likely to involve:

- (1) Numerous pretrial motions raising difficult or novel legal issues that will be time-consuming to resolve;
- (2) Management of a large number of witnesses or a substantial amount of documentary evidence;
- (3) Management of a large number of separately represented parties;
- (4) Coordination with related actions pending in one or more courts in other counties, states, or countries, or in a federal court; or
- (5) Substantial postjudgment judicial supervision.

(California Rules of Court, rule 3.400(b).)

“Coordination of civil actions sharing a common question of fact or law is appropriate if one judge hearing all of the actions for all purposes in a selected site or sites will promote the ends of justice taking into account” the following factors: “whether the common question of fact or law is predominating and significant to the litigation; the convenience of parties, witnesses, and counsel; the relative development of the actions and the work product of counsel; the efficient utilization of judicial facilities and manpower; the calendar of the courts; the disadvantages of duplicative and inconsistent rulings, orders, or judgments; and, the likelihood of settlement of the actions without further litigation should coordination be denied.” (Code Civ. Proc., § 404.1 (“Section 404.1”); see also California Rules of Court, rule 3.521 [setting forth the requirements for a petition for coordination].)

The trial court exercises its discretion in weighing and balancing these factors to determine whether coordination best serves the ends of justice in a particular case. (*Pesses v. Superior Court (Pacific Southwest Airlines)* (1980) 107 Cal.App.3d 117, 125-126; *McGahn Med. Corp. v. Superior Court* (1992) 11 Cal.App.4th 804, 812.)

III. Discussion

A. The Actions are Complex

Petitioner first argues that the actions are complex and eligible for coordination. (Memorandum, pp. 20–22.) Three of the five actions have already been treated as complex by the courts in which they are pending. The remaining two actions are the *Villarreal Diaz* action, which has not been deemed complex, and the *Velazquez* action, which has been deemed non-complex. A prior complexity determination by a trial court does not bind the coordination motion judge. (Cal. Rules of Court, rules 3.400, 3.501(c).)

Here, the Court finds that all the included actions are complex. Both the *Villarreal Diaz* and *Velazquez* actions are representative PAGA actions brought on behalf of numerous aggrieved employees, with the *Velazquez* action asserting nineteen Labor Code claims. These actions will require management of numerous witnesses and a substantial amount of documentary evidence. They also present interrelated arbitration and standing questions that have already been the subject of motion practice and an appeal.

Accordingly, the Court finds that all five included actions are complex within the meaning of rule 3.400 and therefore eligible for coordination.

B. The Actions Should be Coordinated

Petitioner contends that coordination is proper and will promote the ends of justice, pointing to the seven factors set forth in Code of Civil Procedure section 404.1: (1) whether the common questions of fact or law predominates and is significant to the litigation; (2) the convenience of the parties, witnesses, and counsel; (3) the relative development of the actions and the work product of counsel; (4) the efficient utilization of judicial facilities and

manpower; (5) the calendar of the courts; (6) the disadvantages of duplicative and inconsistent rulings, orders, or judgments; and (7) the likelihood of settlement of the actions without further litigation should coordination be denied.

The Court agrees that analysis under the pertinent factors supports coordination in this instance. All five actions arise from the same defendant's wage and hour policies and practices. Common factual issues include TransPak's timekeeping, meal and rest break policies, overtime calculations, and compensation practices. Common legal issues include Labor Code compliance, class certification standards, PAGA manageability and penalty calculations, and statute of limitations defenses. The actions are pending in three counties before five different judges. Under such circumstances, duplicative discovery, motion practice, and potentially inconsistent rulings on identical issues are likely to occur in the absence of coordination.

The "relative development of the actions" factor is neutral in the coordination analysis. The actions are at varying stages: *Jacobs* is staying pending arbitration; *Velazquez* is the most developed and is subject to a pending appeal; *Villarreal Diaz* was filed relatively recently in December 2025. While the *Jacobs* action's earlier arbitration motion was resolved by Court order, that procedural difference does not eliminate the factual and legal issues that are common across all the actions. Furthermore, the differing postures in the cases do not weigh against coordination here because the parties have already been litigating and attempting to resolve the actions on a coordinated basis. (See Washington Decl., ¶¶ 38, 55, Ex. 4, 16 [joint statements filed in the *Velazquez* and *Gomez* actions indicate that the parties in *Jacobs*, *Velazquez*, *Viloria*, and *Gomez* have agreed to global mediation with Hon. Ronald Sabraw (Ret.)].)

In sum, the petition meets the criteria for coordination under Code of Civil Procedure section 404.1. The actions are sufficiently complex, and common questions predominate. Coordination will promote convenience, judicial economy, and ends of justice. Considerations potentially weighing against coordination (including the presence of an individual defendant in one action and the differing procedural postures) are outweighed by the substantial overlap in claims, parties, and discovery needs, and the significant risk of inconsistent rulings absent coordination.

Accordingly, the petition for coordination is GRANTED.

IV. Conclusion

For the reasons stated, the Court rules as follows.

1. The Court finds that each of the five included actions is complex. (Cal. Rules of Court, rule 3.400.)
2. The Petition for Coordination is GRANTED. (Code Civ. Proc., §§ 404.1, 404.3.)
3. The Court recommends the Superior Court of California, County of Santa Clara, as the site of the coordination proceedings. (Cal. Rules of Court, rule 3.530.)
4. The Court selects the Sixth Appellate District as the reviewing court. (Cal. Rules of Court, rule 3.505(a).)
5. The STAY of the included actions is CONTINUED pending assignment of a coordination trial judge. (Code Civ. Proc., § 404.5; Cal. Rules of Court, rule 3.515.)
6. Petitioner shall transmit a copy of this decision and order to the Chair of the Judicial Council and shall serve a copy on each appearing party and on the clerk of each court in which an included action is pending. (Cal. Rules of Court, rules 3.511, 3.524.)

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Calendar Line 3

Case Name: *State of California, ex rel. Joshua Leichtberg, M.D. v. Concentra Inc. et al.*
Case No.: 24CV431718

This qui tam action arises from an alleged scheme to submit false workers' compensation insurance claims. Before the Court is Defendants' demurrer to the First Amended Complaint. As discussed below, the Court SUSTAINS the demurrer in its entirety and grants 20 days' leave to amend.

I. Background

Plaintiff-Relator Dr. Joshua Leichtberg is a physician who worked at a Concentra-branded clinic for approximately seven months in 2023. (FAC, ¶ 15.) He alleges a scheme to submit false workers' compensation insurance claims in violation of the California Insurance Frauds Prevention Act ("CIFPA"). He also alleges that Defendants retaliated against him for objecting. After the California Department of Insurance ("CDI") declined to intervene, the Court unsealed the action and authorized service.

Relator alleges that Concentra, through its "Clinical Model," required physicians employed by Defendant Occupational Health Centers of California to order mandatory rechecks within two days of initial visits and physical therapy referrals for nearly every patient, regardless of medical necessity under the Medical Treatment Utilization Schedule ("MTUS"). (See Opposition, pp. 3–11 [summary of FAC's allegations].) Concentra allegedly enforced these requirements through bonuses and "Quality Bonus" payments tied to ordering the services, as well as threats of demotion or termination. (*Id.* at p. 7:1–15.) Non-physician providers allegedly treated patients without required supervision, and false representations of supervision were made to insurers. (*Id.* at pp. 8:20–9:7.) Dr. Leichtberg internally objected to the policies as unlawful and unethical. (FAC, ¶ 165.) Concentra withdrew his pending promotion to Clinic Medical Director and terminated him through Dr. Kathy T. Le for failure to follow the Clinical Model. (*Id.* at ¶¶ 168–171.)